Commercial banks consist of both public sector and private sector banks.

Public Sector Banks

Public sector banks are those banks in which the majority of ownership is with the government. The majority of ownership implies a share holding of more than 51 per cent.

All public sector banks were not started by Government of India. Some banks which were in private hands were nationalised and made into public sector banks.

State Bank Of India

Its previous name was Imperial Bank of India. It was created in 1921 by amalgamating the three Presidency Banks of Bengal (1806), Bombay (1840) and Madras (1843). Imperial Bank of India was partially nationalised on July 1, 1955 and renamed as State Bank of India (SBI). In 1959, eight banks of former princely states were brought under SBI as its associates. They are:

1. The State Bank of Bikaner
2. The State Bank of Jaipur
3. State Bank of Hyderabad
4. State Bank of Indore
5. State Bank of Mysore
6. State Bank of Saurashtra
7. State Bank of Patiala and
8. State Bank of Travancore

Among these banks, State Bank of Bikaner and State Bank of Jaipur were merged together and called State Bank of Bikaner and Jaipur. State Bank of Saurashtra and State Bank of Indore were merged with